

Tempus AI, Inc.

TEM NASDAQ

Buy	\$50.84 ▲ 4.20%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$9.13B
-----	-----------------	-----------------------------	-------------------------------------	-----------------------

TEM: Open-Source Pathology Consortium Catalyst; Reiterate Buy

WHAT'S CHANGED

- TEM launched an Open-Source Digital Pathology Consortium (6/16), reinforcing data-network effects and positioning TEM as standard-setter in AI-driven pathology — a strategic catalyst supporting platform/licensing optionality.
- Stock recaptured the \$50 handle (+4.2% intraday) on lighter volume (5.9M vs. 5D avg ~7M), tracking Tech ETF strength (+3.04% 1D); however, CEO Lefkofsky sold ~\$3.2M across three tranches on 5/27 — a notable governance overhang.

IMPLICATIONS

The pathology consortium move deepens TEM's multi-modal moat (genomics + imaging + clinical), creating a longer-term data flywheel that should accelerate pharma partnership monetization — the highest-margin revenue line. With shares at just 15% of the 52-week range and Tech ETF leadership returning (+4.49% 5D), TEM screens as an oversold high-beta beneficiary of risk-on rotation, while bullish options flow (P/C 0.25, unusual July \$53 calls) suggests institutional positioning ahead of Q2 print. The CEO selling is a near-term sentiment headwind but is dwarfed by ARK/Blackrock/Baillie Gifford's combined ~15.6% stake conviction.

VALUATION

At \$9.13B market cap on ~\$1.45B FY26E revenue, TEM trades at ~6.3x EV/Revenue FY26E and ~4.9x FY27E — a meaningful discount to high-growth healthcare AI/diagnostics peers (Veeva, GH, NTRA at 7-10x). Our \$68 PT (~34% upside) assumes 7.0x FY27E revenue on continued 30%+ growth and pharma services scaling; multiple expansion hinges on gross margin trajectory toward 65% and a credible path to adj. EBITDA breakeven by 2H27. Bear case at \$36 reflects 4x revenue if growth decelerates below 25%.

KEY RISKS

- Continued insider selling cadence from CEO Lefkofsky pressuring sentiment and signaling possible valuation ceiling near-term.
- Cash burn and dilution risk; path to profitability still 18+ months out with capital markets sensitivity.
- Reimbursement/competitive risk in genomics (GH, NTRA, Exact) and potential pharma R&D budget pullback affecting Data & Services revenue.

RECENT NEWS

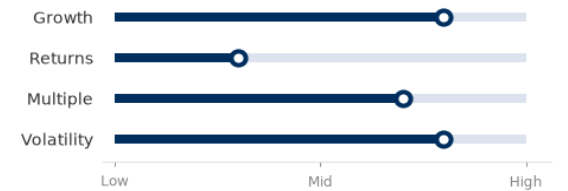
Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium Insider Monkey · 2026-06-16 12:52

Tempus AI (TEM) Stock After 23% Year-To-Date Decline Is Opportunity Emerging Simply Wall St. · 2026-06-13 02:10

Key Data

Price (USD)	\$50.84
12M Price Target	\$68.00
Upside / (Downside)	+33.8%
Market Cap	\$9.13B
FY2026E Revenue	\$1,450M
FY2027E Revenue	\$1,880M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.10)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$51.00	\$44.00
6 Months	\$72.00	\$60.00	\$42.00
1 Year	\$92.00	\$68.00	\$36.00
2 Years	\$125.00	\$85.00	\$30.00
5 Years	\$210.00	\$125.00	\$22.00
10 Years	\$420.00	\$210.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Consumer Discretionary

COLD SECTORS: Real Estate, Communication Services

ROTATION WATCH: Risk-on rotation into high-beta Tech (+4.49% 5D) favors unprofitable growth names like TEM; if 10Y yields compress further, duration-sensitive healthcare AI should outperform defensive healthcare.

BYPRODUCT PLAY: Open-source pathology standards benefit imaging infrastructure (PACS vendors), GPU compute demand for medical AI inference (NVDA halo), and CRO partners running AI-enabled trials (ICLR, MEDP).

OUTPERFORMERS & PEER CONTEXT

- VEEV (Veeva Systems): Healthcare SaaS leader trading at premium multiple with consistent 20%+ growth and GAAP profitability — sets the bar for TEM's eventual margin trajectory.
- RXRX (Recursion Pharma): AI drug discovery peer with similar narrative but TEM has superior revenue scale and commercial traction.

TEM CONTEXT: TEM is lagging peer group YTD (-23% per Simply Wall St narrative) despite stronger commercial traction; relative underperformance reflects profitability concerns more than franchise quality, creating asymmetric setup if Q2 execution holds.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-50 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth <30% YoY, gross margin compression, or loss of major health system partnership

Hedging: Short GH or paired NASDAQ Biotech ETF (IBB) overlay